January 2015 Paper 02

Section I (Compulsory)

Question 1

1(a) Define key terms

Define EACH of the following terms: (i) Bill of exchange (2 marks); (ii) Electronic transfer (2 marks); (iii) E-commerce (2 marks)

(a)(i) Bill of exchange

A bill of exchange is a written and signed order from one person, called the drawer, to another person, called the drawee, requiring the drawee to pay a stated sum of money either on demand or at a fixed future date to a named person or to the bearer of the bill. It is often used in international trade to settle payments between buyers and sellers in different countries.

(a)(ii) Electronic transfer

Electronic transfer is the movement of money from one bank account to another using computer networks instead of cash or paper cheques. The transfer is carried out through systems such as the ACH, wire transfer or online banking, and the funds usually appear in the receiver's account within a short period of time.

(a)(iii) E-commerce

E-commerce, short for electronic commerce, is the buying and selling of goods and services over the internet. It includes activities such as ordering items from an online store, paying with a credit or debit card on a website and having the goods delivered to the customer or downloaded electronically.

1(b) Distinguish between pairs of concepts

Distinguish between EACH of the following pairs of concepts: (i) Traditional economy and planned economy (4 marks); (ii) Public sector and private sector (4 marks)

(b)(i) Traditional economy and planned economy

Traditional economy

A traditional economy is one in which decisions about what to produce, how to produce it and for whom to produce are based on customs, beliefs and habits passed down from one generation to the next. Production is usually small in scale, the main activities are farming, fishing and handicraft, and most goods are made for the use of the family or the village rather than for sale.

Planned economy

A planned economy is one in which the central government makes all the major decisions about what to produce, how to produce it and how the goods and services will be shared out among the people. The state owns most of the resources and the means of production, sets prices and wages, and runs the main industries through state-owned enterprises with little role for private business.

(b)(ii) Public sector and private sector

Public sector

The public sector is the part of the economy that is owned and controlled by the government on behalf of the citizens. It includes ministries, government departments, statutory bodies and state-owned enterprises that provide services such as health care, education, water, electricity and national security. Its main aim is to provide services to the public rather than to make a profit.

Private sector

The private sector is the part of the economy that is owned and controlled by private individuals or groups, such as sole traders, partnerships and limited companies. Businesses in the private sector use their own capital to produce goods and services and their main aim is to make a profit for the owners or shareholders.

1(c) How businesses contribute to community development

Explain TWO ways in which businesses can contribute to the development of the communities in which they are located. (6 marks)

Creating jobs and providing income for residents

Businesses employ people who live in the surrounding community and pay them wages and salaries. This income allows residents to buy food, clothing, housing and education for their families, which raises the standard of living in the community. The wages spent in local shops also help other small businesses to grow, so the whole community benefits from the presence of the business.

Sponsoring community projects and providing social services

Many businesses give back to the community by sponsoring sports teams, school programmes, scholarships and health clinics, or by donating money and goods to help during disasters. Some build playgrounds, repair roads or improve community centres near their place of operation. These actions improve the social and physical environment of the community and build a strong relationship between the business and the people who live around it.

Question 2

2(a) Communication

(a)(i) Identify TWO means of communication in an organization. (2 marks); (ii) Identify TWO barriers to effective communication. (2 marks); (iii) Outline TWO strategies for effective communication. (4 marks)

(a)(i) TWO means of communication in an organization

- Email and internal memorandums sent through the office computer network.
- Face-to-face meetings and telephone calls between managers and workers.

(a)(ii) TWO barriers to effective communication

- Use of technical language or jargon that the receiver does not understand.
- Noise and other distractions in the workplace, which prevent the receiver from hearing the message clearly.

(a)(iii) TWO strategies for effective communication

Use simple and clear language

The sender should use words that the receiver can easily understand and avoid technical terms or slang. Short, clear sentences with one idea at a time make it less likely that the message will be misunderstood. Where the topic is complex, the sender can use diagrams, charts or examples to support the words.

Encourage feedback from the receiver

The sender should give the receiver a chance to ask questions and to repeat the message in their own words. By listening to the feedback, the sender can check whether the message was understood correctly and can clear up any confusion straight away. This two-way flow of information helps to make sure that the right action is taken.

2(b) Purpose of a management information system (MIS)

Explain the purpose of a management information system (MIS). (2 marks)

The purpose of a management information system is to collect, store and process data from inside and outside the business and to present it to managers in a useful form so that they can make better decisions. A good MIS gives managers up-to-date information on sales, stock, finance and staff at the click of a button, which helps them to plan, control and check the performance of the business.

Question 3

3(a) Entrepreneur and business plan

(a)(i) Define the term 'entrepreneur'. (2 marks); (ii) List TWO characteristics of an entrepreneur. (2 marks); (iii) Outline TWO features of a business plan. (4 marks)

(a)(i) Definition of entrepreneur

An entrepreneur is a person who sees a business opportunity, brings together the factors of production (land, labour and capital), takes the risk of investing his or her own time and money, and organises and runs a business with the aim of making a profit.

(a)(ii) TWO characteristics of an entrepreneur

- Willingness to take calculated risks with money, time and effort in order to start and grow the business.
- Creativity and initiative, which allows the entrepreneur to spot new business opportunities and come up with new products or new ways of doing things.

(a)(iii) TWO features of a business plan

Executive summary and business description

A business plan begins with a short executive summary that gives the reader an overview of the whole plan, followed by a section that describes the business, including its name, location, legal form, mission and the products or services it will offer. This part tells any reader exactly what the business is about.

Marketing plan and financial plan

The business plan also contains a marketing plan that explains the target customers, the price, the place of

sale and the promotion strategy, as well as a financial plan that sets out the start-up costs, the expected sales and expenses, the projected profit and the sources of finance. These two sections show how the business intends to attract customers and how it will be funded and become profitable.

3(b) Establishing a business and reasons people start businesses

(b)(i) Identify THREE steps that should be taken when establishing a business. (3 marks); (ii) State THREE reasons why persons may want to establish their own business. (3 marks)

(b)(i) THREE steps when establishing a business

- Carry out a feasibility study and prepare a business plan to check that the idea is workable and to set out the goals and the way forward.
- Register the business with the proper authorities, such as the Companies Office and the tax authority, and obtain any licences and permits needed to operate.
- Raise the start-up capital, find a suitable location, buy equipment and stock, and recruit any workers needed before opening the doors to customers.

(b)(ii) THREE reasons people start their own business

- To be their own boss and have the freedom to make their own business decisions.
- To earn a higher income and build personal wealth through the profits of the business.
- To turn a hobby, skill or new idea into a way of earning a living and to provide jobs for family members and other people.

3(c) Effects of unethical business practices on society

Describe the likely effects of TWO unethical business practices on the society. (6 marks)

Selling unsafe or poor-quality goods to consumers

When a business knowingly sells expired food, fake medicine or unsafe electrical goods, customers can become sick, injured or even die. Hospitals and clinics then have to spend extra resources treating these victims, which puts a strain on the public health system. Families also lose money replacing the bad goods or paying medical bills, and trust in local businesses falls, which hurts honest traders too.

Tax evasion and dishonest accounting

When businesses hide sales, keep two sets of books or refuse to pay the proper taxes, the government collects less revenue than it should. This means there is less money to spend on schools, hospitals, roads and security, and ordinary citizens suffer from poorer public services. Honest businesses that do pay their taxes are also placed at a disadvantage, because dishonest competitors can charge lower prices and steal their customers.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a) Marketing activities and the marketing mix

(a)(i) List FOUR marketing activities. (4 marks); (ii) State TWO elements of the marketing mix. (2 marks)

(a)(i) FOUR marketing activities

- Market research, used to find out the needs, wants and buying habits of customers.
- Product design and branding, in which the business decides on the features, packaging and brand image of the product.
- Advertising and sales promotion, used to inform customers about the product and to persuade them to buy it.
- Distribution, which involves moving the product from the business to the final customer through wholesalers, retailers or direct sales.

(a)(ii) TWO elements of the marketing mix

- Product, which refers to the goods or services that the business offers for sale.
- Price, which is the amount of money the customer pays for the product.

4(b) Sales promotion vs public relations

Differentiate between 'sales promotion' and 'public relations'. (4 marks)

Sales promotion

Sales promotion is a short-term marketing activity used to encourage customers to buy the product immediately. It includes offers such as discount coupons, buy-one-get-one-free deals, free samples, competitions and special displays in shops. The main aim is to give a quick boost to sales over a limited period of time.

Public relations

Public relations is a long-term marketing activity used to build and protect a positive image of the business in the eyes of the public. It includes activities such as press releases, sponsorship of community events, charity donations and open days at the business. The main aim is to create goodwill and trust rather than to push immediate sales.

4(c) Examples of advertising and personal selling

List TWO examples of (i) advertising (2 marks); (ii) personal selling. (2 marks)

(c)(i) TWO examples of advertising

- Television and radio commercials promoting a product or service.
- Newspaper, magazine and billboard advertisements.

(c)(ii) TWO examples of personal selling

- A sales representative visiting customers at their homes or offices to demonstrate a product.
- A shop assistant in a store explaining the features of a product to a customer and helping him or her to choose.

4(d) Problems with buying goods over the internet

Outline THREE problems which a consumer might experience when purchasing goods via the Internet. (6 marks)

Risk of fraud and loss of personal information

When the consumer enters credit card and personal details on a website, that information can be stolen by hackers or by dishonest sellers and used to carry out fraud. The consumer may end up paying for goods that are never delivered, or having unauthorised charges made on the card.

Goods received may not match what was advertised

Because the consumer cannot see, touch or try the product before paying, the item that arrives may be of poorer quality, the wrong size or colour, or even completely different from the one shown on the website. Returning the goods to a foreign seller can be slow, costly and sometimes not possible at all.

Long delivery times and extra charges

Goods bought online from overseas often take many weeks to arrive and can be held up at customs. The consumer may also have to pay extra charges such as shipping, customs duty and handling fees, which can make the final price much higher than the price shown on the website.

Question 5

5(a) Commercial banks and central bank

(a)(i) List FOUR services offered by commercial banks. (4 marks); (ii) State TWO functions of a central bank. (2 marks)

(a)(i) FOUR services offered by commercial banks

- Accepting deposits from customers into savings, current and fixed deposit accounts.
- Providing loans, mortgages and overdrafts to individuals and businesses.
- Offering money transfer services such as standing orders, direct debits and electronic transfers.
- Providing safe-keeping services such as safety deposit boxes and the issue of credit and debit cards.

(a)(ii) TWO functions of a central bank

- Issuing the country's notes and coins and controlling the money supply.
- Acting as banker to the government and to the commercial banks, and supervising the banking system.

5(b) Savings vs investment

Differentiate between 'savings' and 'investment'. (4 marks)

Savings

Savings refer to the part of a person's income that is not spent on current consumption but is set aside for future use, usually in a low-risk account such as a savings account at a commercial bank or credit union. Savings earn a small amount of interest and the money is kept safe and easy to withdraw when needed.

Investment

Investment refers to the use of money to buy assets such as shares, bonds, property or equipment, with the aim of earning a higher return over time in the form of dividends, interest, rent or capital gains.

Investments usually carry a higher level of risk than savings, since the value of the asset can rise or fall, but they also offer the chance of greater rewards.

5(c) Short-term vs long-term financing

Differentiate between (i) short-term financing (4 marks); (ii) long-term financing. (4 marks)

(c)(i) Short-term financing

Short-term financing is money borrowed by a business that is expected to be repaid within one year. It is usually used to meet day-to-day needs such as paying wages, buying stock and covering small bills while waiting for customers to pay. Common sources include bank overdrafts, trade credit from suppliers and short-term bank loans.

(c)(ii) Long-term financing

Long-term financing is money borrowed or raised by a business that is repaid over a period of more than five years, or that does not have to be repaid at all in the case of equity. It is used to buy big assets such as land, buildings and heavy machinery, or to expand the business. Common sources include long-term bank loans, mortgages, debentures and the issue of shares to investors.

5(d) Importance of personal budgeting

Outline THREE reasons why personal budgeting is important. (6 marks)

Helps to control spending and avoid waste

A personal budget shows clearly how much money is coming in and how much is going out for each item of spending. By setting a limit for each item, the person can avoid spending too much on things like entertainment and snacks, and make sure that important bills such as rent, electricity and food are paid first.

Helps to save for future needs and goals

A budget makes it possible to set aside a fixed amount of income each month for savings before any spending takes place. These savings can then be used to meet future goals such as buying a car, going to university, putting a deposit on a house or building an emergency fund for unexpected expenses.

Helps to avoid debt and financial stress

By matching spending to income, a budget stops the person from borrowing more than they can afford and from running up large credit card bills. This reduces the risk of falling into debt, paying high interest charges and suffering from the stress and worry that come with money problems.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a) Protecting the environment and consumers

(a)(i) State TWO ways in which businesses can protect the natural environment of a country. (2 marks); (ii) Describe THREE measures used by governments to protect consumers from unfair business practices. (6 marks)

(a)(i) TWO ways businesses can protect the natural environment

- Treating waste water and other harmful waste before releasing it, and disposing of solid waste in proper landfills or through recycling.
- Using cleaner technology and energy-saving equipment to reduce air pollution and the use of natural resources such as water and forests.

(a)(ii) THREE measures governments use to protect consumers

Passing consumer protection laws

Governments pass laws such as the Sale of Goods Act and the Consumer Protection Act, which give buyers the right to receive goods that are of merchantable quality, fit for purpose and as described. Customers who are sold defective or wrongly described goods can use these laws to claim a refund, replacement or compensation through the courts.

Setting up consumer affairs departments and bureaus of standards

Governments operate bodies such as the Consumer Affairs Commission and the Bureau of Standards. These agencies investigate complaints from consumers, test products to make sure they meet safety and quality standards, take action against businesses that break the rules and educate the public about their rights as consumers.

Regulating prices, weights and measures

Governments use price control orders to set maximum prices on essential items such as basic food and medicine, and pass weights and measures laws to make sure that scales, fuel pumps and packaged goods give the correct quantity. Inspectors visit shops and markets to check that traders are following these rules, which protects consumers from being overcharged or short-changed.

6(b) Government assistance to businesses

Outline THREE forms of assistance offered by governments to help businesses to develop. (6 marks)

Tax concessions and subsidies

The government can offer tax holidays, lower tax rates or duty-free importation of raw materials and equipment to new and small businesses. It may also give cash subsidies to certain industries such as agriculture and tourism. These measures lower the costs of doing business and encourage owners to expand and to take on more workers.

Training and advisory services

Through agencies such as the Ministry of Trade, the Small Business Development Centre and chambers of commerce, the government provides training in areas such as accounting, marketing, customer service and the use of technology. Free or low-cost advice is also given on how to prepare business plans, register the business and apply for loans.

Provision of infrastructure and access to finance

Governments build roads, ports, water and electricity supplies and industrial estates, all of which make it easier and cheaper to operate a business. They also set up development banks and loan guarantee schemes that help small and medium businesses to obtain finance on better terms than they could from a regular commercial bank.

6(c) Improving health care

Explain TWO ways in which governments could improve the health care sector in a country. (6 marks)

Increasing spending on hospitals, clinics and equipment

The government can build new hospitals and clinics in both urban and rural areas, repair and expand existing ones, and buy modern equipment such as scanners, dialysis machines and ambulances. With better facilities and equipment, doctors and nurses can treat more patients more quickly and accurately, waiting times fall and the overall quality of care goes up.

Training and retaining more health workers

The government can offer scholarships and bonded training to study medicine, nursing, pharmacy and other health-related fields, and can pay better salaries and provide good working conditions to keep these workers in the country. With more well-trained doctors, nurses and technicians, the health system can serve more people, reduce the strain on those already working and lower the rate of migration of skilled health workers.

Question 7

7(a) Standard of living

(a)(i) Identify TWO factors that can be used to determine a country's standard of living. (2 marks); (ii) Explain how EACH factor identified in (a)(i) above affects standard of living. (6 marks)

(a)(i) TWO factors used to determine standard of living

- Real per capita income, that is, the average income per person after adjusting for inflation.
- Access to social services such as health care, education, clean water and proper housing.

(a)(ii) How each factor affects standard of living

Real per capita income

When the real per capita income of a country is high, the average citizen has more money to spend on food, clothing, housing, transport and leisure. People can afford a more varied diet, better quality housing and modern household goods such as fridges, computers and motor vehicles. As a result, the overall quality of life and standard of living rises.

Access to social services

When citizens have easy access to good schools, hospitals, clean water, electricity and proper housing, they live longer, healthier and more productive lives. Educated citizens can find better-paying jobs, healthy citizens lose fewer days from work, and good housing and water supply reduce the spread of disease. All of this raises the standard of living of the country far above what income alone would suggest.

7(b) Gross domestic product (GDP) and approaches to measuring national income

(b)(i) Define the term 'gross domestic product' (GDP). (2 marks); (ii) Outline TWO approaches used to measure national income. (4 marks)

(b)(i) Definition of GDP

Gross domestic product is the total market value of all the final goods and services produced within a country's borders during a given period of time, usually one year. It includes the output of both citizens and foreigners working in the country and is one of the main measures of the size and performance of an economy.

(b)(ii) TWO approaches used to measure national income

Income approach

Under the income approach, national income is measured by adding up all the incomes earned by citizens and businesses from taking part in production over the year. This includes wages and salaries paid to workers, profits earned by businesses, interest earned on capital and rent earned on land. The total of these incomes gives the country's national income.

Output (production) approach

Under the output or production approach, national income is measured by adding up the value of all the final goods and services produced by every industry in the country during the year. The values are taken from sectors such as agriculture, manufacturing, construction, tourism and services, and care is taken to count only the final value to avoid double counting.

7(c) Addressing balance of payments problems

Explain TWO ways in which a country can address its balance of payments problems. (6 marks)

Promote exports and reduce imports

The government can encourage local producers to sell more goods and services abroad by giving them tax incentives, export subsidies and help with marketing in foreign countries. At the same time, it can place tariffs and quotas on imports, especially on luxury goods, to make them more expensive and reduce the amount the country buys from overseas. As exports rise and imports fall, the balance of payments improves.

Encourage foreign investment and tourism

The country can attract foreign investors by offering tax holidays, building good infrastructure and keeping the political situation stable, so that overseas firms set up factories, hotels and offices and bring in foreign exchange. Promoting the country as a tourist destination through advertising overseas and improving airports, beaches and attractions also brings in foreign currency from visitors. Both of these inflows help to close the gap on the balance of payments.